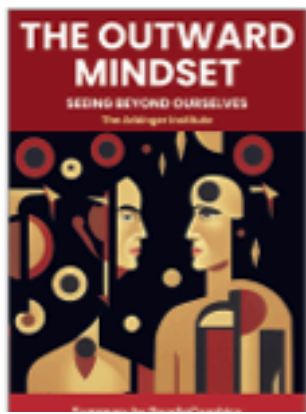




THE OUTWARD MINDSET

Seeing Beyond Ourselves

THE ARBINGER INSTITUTE



The Big “So What”

Our mindsets affect how we see the world and respond to people or events around us. This book explains how to create lasting change by adopting an outward mindset that improves your personal and professional relationships, team collaboration and innovation.



Introduction



Many of us unknowingly operate from an inward, self-focused mindset, which generates tension and conflict. When you switch to an outward mindset, you intuitively understand what your colleagues, friends, and family need. Your relationships flourish, your teams and communities thrive, and you become happier and more successful.



In this book, the Arbinger Institute draws on decades of research and application, to explain how we can create lasting change at a personal, family, team, and organizational level. The ideas are presented through a series of real-world examples to help us understand the outward mindset and its potential impact.



Why Mindsets Matter



Mindsets Drive Performance and Results



Our results are determined by our actions/behaviors, which are in turn shaped by our mindsets and perspectives. Mindsets are more than self-beliefs. They affect how you see things/people, the options you think of, and how you choose among those options.

KEY QUOTES

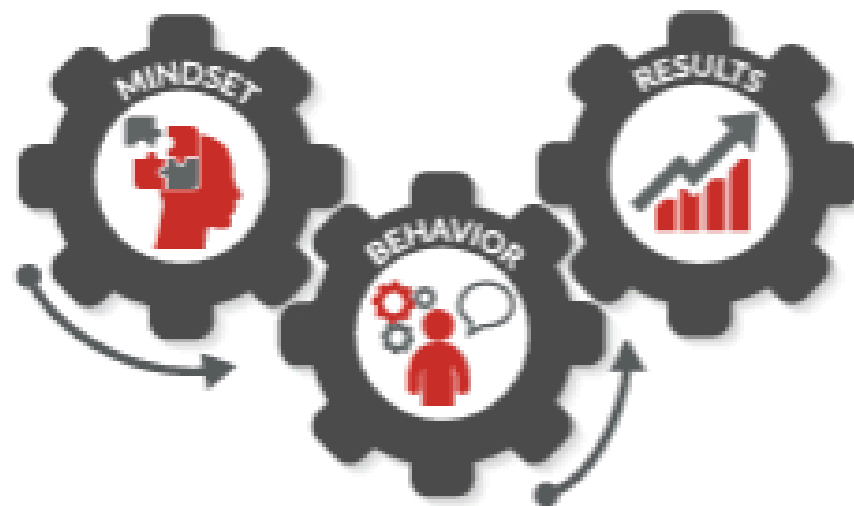
“This book is about...how to experience a way of seeing, thinking, working, and leading that helps individuals, teams, and organizations significantly improve performance.”

“Mindset drives and shapes all that we do—how we engage with others and how we behave in every moment and situation.”

“While behaviors drive results, behaviors themselves are informed and shaped by one’s mindset.”



Without a change in mindset, you cannot create lasting change. Technical skills or behavioral interventions may deliver short-term results, but you'll eventually lapse into old ways of thinking and acting.



- For example, you can learn new techniques from a communication course, but you won't be able to apply these effectively until you change how you see others. If you dislike and distrust someone, the other person can pick up the negative vibes regardless of what you say or do.
- By contrast, once you change your mindset, it fundamentally changes how you see and approach things. A study by McKinsey & Company found that organizational change is 4x as likely to succeed if you target underlying mindsets from the onset.



Example: the Kansas City Police Department (KCPD).

- In the past, the KCPD used to take a hard stance with suspects. During drug busts, they would take down suspects aggressively, thrash their homes and even shoot their pets. This only led to increasing tension, worsening crime rates and community complaints.
- Then, the team considered a new perspective: what was it like to be on the other side of the fence? They realized that the drug peddlers were also people trying to make ends meet. Damaging their homes and terrifying their families did nothing to control crime.
- This simple mindset shift led to a major transformation. During drug busts, SWAT team members started to protect the civilians and their properties, and they even prepare milk formula to calm terrified mothers and their babies. Before long, complaints went down, and suspects even cooperated with the police to reduce drugs and guns on the streets.

KEY QUOTES

"As the mindset changes, so does the behavior, without having to prescribe the change."



Inward Mindset vs Outward Mindset

 When we focus inward on our own needs and goals, we perceive others as objects, or just a means to our own ends. We may:

- Treat others like tools or vehicles to achieve our goals;
- Blame them for obstructing our goals; and/or
- Ignore them because they seem irrelevant to our goals.

 When we focus outward, we see others as people like us. We see both our needs and theirs, and realize how we're interconnected. This broadens our perspective and helps us to see new possibilities. When we see others as people, we also want to help them and make a positive impact on their lives.

 Inward and outward mindsets are not about personality types (e.g. introversion vs extroversion) but perspectives.

- The inward mindset arises because we see the "self" as a separate entity, and imagine boundaries and separations when they don't exist. In reality, no human being can be truly "independent":
 - Our physical bodies are shaped by the genes we inherit, our thoughts/beliefs are shaped by the people and environment we're born into, and our moods/feelings are influenced by the people around us. Even when we're alone, our state of mind is affected by our thoughts about other people.
 - Everything we say and do also impacts others around us, to create ripple effects on our communities.
- The 2 mindsets fall on a continuum. All of us exhibit both mindsets, and we can intentionally shift toward an outward mindset to improve our personal and professional outcomes.

KEY QUOTES

*"Separation is an abstraction.
Together is our reality."
—Martin Buber*

*"People are at once
independent and
dependent, both alone and
fundamentally together, at
the same time influencing
others and being influenced
by them."*

*"Accountability, collaboration,
innovation, leadership,
culture, and value to
customers all improve as
organizations increasingly
apply an outward mindset in
their strategies, structures,
systems, processes, and day-
to-day-work."*





Inward and outward mindsets are manifested as 2 types of leadership:

- Isolated leaders see themselves as separate from those they lead. To them, people are like objects or resources to be managed.
- Together leaders realize that they exist as leaders only because of their followers. They see unlimited potential in each person, consider things from others' point of view, and are thus able to find new solutions that are invisible to isolated leaders.



Let's take a look at a few real-world examples:

- Business turnaround: After a company acquired by a larger firm, it was instructed to cut costs by \$100mil within 30 days. The president, Louise Francesconi, gathered her executives to discuss solutions.
 - Initially, the managers adopted an inward mindset, to protect their own position, manpower and budget, while hoping for the layoffs to come from other parts of the business.
 - Then, the team stepped back to consider the impact on each person they laid off. Once they started to see the employees as real people with families and commitments, they decided to avoid layoffs if possible. The executives held 1-1 meetings to understand more about their colleagues' work, and one executive even suggested folding his division into another division. The resulting waves of collaboration improved the company's results so dramatically that they managed to double their business growth without any layoffs.
- Healthcare: A team of medical staff were struggling to handle a Vietnamese patient. The patient didn't understand English, was unable to communicate with the medical team at all, and would frequently throw tantrums or hurl stuff. The team debated using medication to calm her, or even discharge her to get her off their hands. Then, a team member asked, "What is it like to be her?" This simple shift—to see the patient as a person instead of just a problem to be dealt with—changed the team's perspective. They started to find ways to ease the patient's stress and frustration, e.g. getting her Vietnamese food and connect her with the local community.

KEY QUOTES

"The truth, once seen, enables change even where change seems most unlikely."

- Father-son relationship: William Cornia was a famer with drinking and anger management issues. He frequently took his anger out on the farm animals, so much so that his son, Ivan, lived in fear that William would one day turn the anger on him. Then one day, Ivan himself lost his temper and started to beat a cow violently. William finally realized how deeply he had affected his son. Once he shifted his focus away from his own frustrations toward his son's well-being, he was able to overcome his anger management issues and become a changed man.



Shifting to an Outward Mindset



Breaking Free from Inward Thinking



Often, we are the biggest obstacles to our own freedom and growth. When we feel overwhelmed by challenges in life, we tend to look inward and blame others for our circumstances, failures, and disappointments.

- We see others in distorted ways to justify our own actions or inactions, e.g. "I'm not helping him because he's lazy and irresponsible" or "I'm withholding information only because he did it first." Such behaviors worsen the problem, conflict, tension, or lack of cooperation.
- During hard times, an outward mindset is even more crucial to help you get unstuck. For example, Chris Wallace was a young man who felt trapped on his family's ranch. He blamed his father for his lack of opportunities and the family's financial distress. After his father committed suicide, Chris continued to blame him for everything that went wrong in his life. Then, a chance encounter with a stranger helped Chris to realize that he had never stopped to consider his father's burdens. He had focused only on what he wanted, and was ultimately responsible for his own self-defeating thoughts. From then on, he stopped obsessing over his father's failings, and started to take responsibility for his own life.



At other times, we think we're being outward-minded when we're actually adopting an inward mindset. For example, a father thought he was spending quality time with his daughter by

KEY QUOTES

"The most troubling areas of our lives will be those in which we resist what the humanity of others invites us to see."

playing basketball with her in the evenings. Then one day, he realized that his daughter didn't like basketball at all. He had been doing what he wanted to do, and not what she needed from him.

KEY QUOTES



The 3-Part Approach to an Outward Mindset

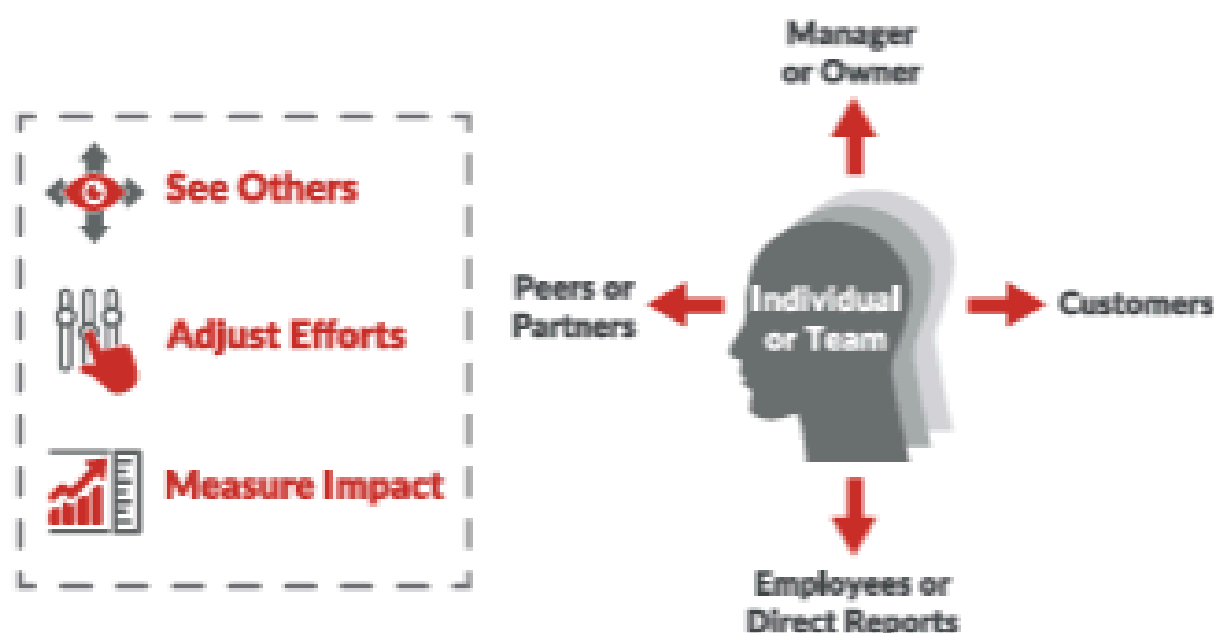


There are 3 steps that any individual, team, or organization can use to shift to an outward mindset:

- See others' needs, goals, and challenges;
- Adjust your efforts to become more helpful to others; and
- Measure your impact on others and hold yourself accountable for your impact.



In an organizational setting, these 3 steps should be applied to your stakeholders including: your (i) manager or business owner, (ii) employees or direct reports, (iii) peers or partners, and (iv) customers.



Example: Ford. When Alan Mulally became the CEO of Ford in 2006, the company was losing \$17bil per year. Yet, people didn't feel responsible for the company's problems, and continued to rate their work highly.

- To develop ownership and accountability, Mulally introduced 2 weekly meetings: the Business Plan Review (BPR) and the Special Attention Review (SAR). At the BPRs, senior executives had to personally account for their key areas of responsibility using color codes—green for items that were on-plan, yellow for items at risk of going off-plan, and red for things that were already off-track.

- Due to Ford's culture of hiding mistakes, all the executives initially reported their items as 100% green. One day, an executive had no choice but to report a red item, because a faulty tailgating system made it too risky to launch a new vehicle on schedule. Instead of reprimanding the executive, Mulally praised him for the visibility and asked, "Who can help him with that?" Soon, other executives also started to share honest updates and participate actively in the weekly discussions.
- The BPR helped the executives to (i) see how their roles related to one another and to Ford's wider objectives, (ii) adjust their work to help one another, and (iii) assess if their actions were making any difference. The turnaround was dramatic. During the 2008 financial crisis, Ford was the only U.S. automobile manufacturer that didn't need a federal bailout.



Example: CFS2. Bill Bartmann was the founder and CEO of CFS2, a debt collection company that operated with an outward mindset.

- CFS2 realized that people owed money because they didn't have money in the first place. In fact, many debtors felt so defeated that they had no motivation to turn things around.
- Instead of trying to squeeze every drop from the debtors, the team brainstormed ways to help, e.g. writing resumes for their clients, and reminding them to show up at the interviews on time. CFS2 employees were rewarded based on how far they helped their clients, rather than how much debt they collected. Once the debtors had money, they could repay their debts and wanted to do so, creating a win-win outcome.
- By seeing and understanding the debtors' needs, the CFS2 team was able to adjust their efforts and create a much larger impact.

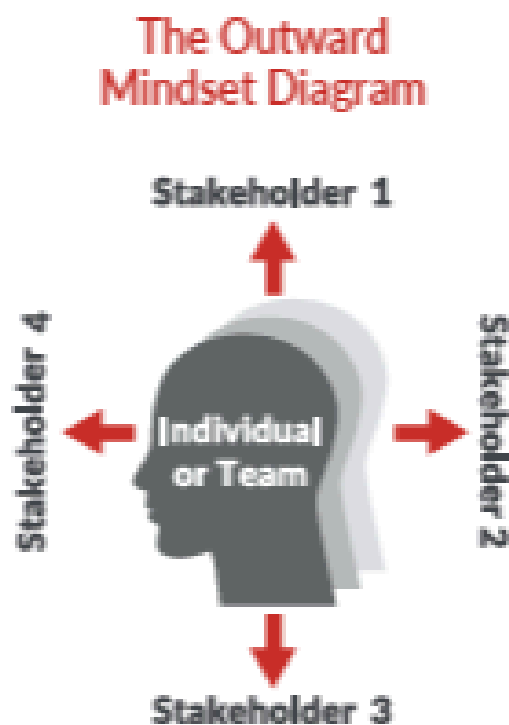


To see others, be genuinely interested in them.

- For instance, if you dislike client meetings or engaging people at a party, stop trying too hard. Instead, try saying "Tell me more" or "How can I help?"
- At an organizational level, develop lateral awareness, i.e. be conscious of the needs, goals and challenges of those working alongside you. Try this exercise:

"Outward-mindset people and organizations help others to be able to do things."

- Get each team or individual to list down the names of people or groups who're affected by their work. Have them map it out on an outward-mindset diagram, talk to one another to understand their respective processes, and refine the diagrams.
- Then, discuss how they can better help one another to achieve their goals, and how to measure their impact.



- Once you look outward, you'll start to see solutions you didn't previously consider. Others also feel seen/heard and become more willing to look outward too. This allows an entire organization to start breaking free from an inward mindset.



The next steps are to adjust your efforts and measure the impact:

- You can adopt self-accountability checks by getting regular feedback from your clients/stakeholders to ensure they are satisfied with the value they are getting.
- You can also develop metrics to measure what others could achieve because of your efforts. Hope Arising, a non-profit organization, sought to help orphaned and at-risk children in rural Ethiopia. Initially, they measured their efforts in terms of the amount of clean water they delivered, but this didn't tell them the extent of their impact. After speaking with the villagers, they found that clean water reduced the children's risks of falling sick, so they could go to school and get the education they needed to improve their circumstances. By measuring the number of days children went to school, they could find even more ways to improve clean water supply and get kids to school.



**Don't Wait for Others to Change
— Take the First Step**



One of the problems of the inward mindset is that we wait for others to change before we do anything. If everyone waits for everyone else, nothing ever happens.

KEY QUOTES

"When we are listened to, it creates us, makes us unfold and expand. Ideas actually begin to grow within us and come to life."

—Brenda Ueland

"If we don't measure the impact of our efforts on the objectives of those we are serving, we will remain blind to important ways we need to adjust and will end up not serving others well."

"No problem could be solved if individuals were not willing to address how they themselves were part of the problem."

KEY QUOTES

- To create outward mindset shifts, you must be willing to make a unilateral change even if others do not, and to sustain those changes even if others don't reciprocate them.
- Leaders play a vital role in bringing people together to align their perspectives.
 - For example, a company's sales and credit teams were at odds because the sales team blamed the credit team for rejecting customers' applications, while the credit team blamed the sales team for bypassing the credit application process and increasing bad debts.
 - Finally, the credit department head got the teams to jointly explore ways to close sales and minimize bad debt. They agreed on a common goal—to keep bad debt at 2.5% of the company's revenues in a way that helped the sales team and company to achieve their sales and profit goals respectively. This paved the way for them to start collaborating instead of pointing fingers.



Approach any problem with the mentality: "As far as I'm concerned, the problem is me". Make the outward shift yourself regardless of what others do or don't do.

- An outward mindset won't allow others take advantage of you. It only increases your awareness so you can respond more intelligently to others. On the other hand, an inward mindset is more likely to lead you to placate or indulge others.
- As an organization shifts to an outward mindset, those who're unwilling to change will also leave eventually, since they won't be able to contribute at the new levels expected of them.



Shifting Outward as a Team or Organization



Any change will be much faster and longer-lasting if you start with mindset shifts, and let it lead the behavioral changes. Before resorting to behavioral interventions, consider if you have:

- Understood the needs, goals, and challenges of all parties involved;
- Adjusted your efforts in view of those issues; and
- Held yourself accountable for your impact on those people.

"The outward mindset doesn't make them soft; it makes them smart."

"You will make progress toward change much more quickly to the degree you first attend to mindset."



Rally people around a collective goal or outcome that's bigger than any individual.

- Often, people focus on narrowly on their individual roles because (i) they don't understand how their roles fit into the wider picture and/or (ii) they're unclear on their impact or accountabilities. When leaders clarify the collective result, it helps people to figure out what they can do rather than wait for specific instructions.
- Even if your organization doesn't have a clear collective goal, you can still use the outward mindset diagram above to understand your role relative to the needs, goals and challenges of your stakeholders. Then, adjust your efforts and measure your impact accordingly.



Let people plan and execute their work, so they can take responsibility for their roles and results.

- Often, leaders assign people with narrowly-defined tasks, then blame them for poor performance. On the other hand, the executors blame the leaders for unrealistic targets or poor planning.
- Don't expect people to mindlessly execute what you tell them to do. Coach them to use the outward mindset diagram and 3-part approach so they can rethink their own roles and decide on the results they must deliver. Use the same approach to own your plans, actions, and impact. For example:
 - i. A couple couldn't get their kids to do the chores assigned to them. Then, they started to involve the kids in the planning process. Once the kids had a say on what should be done and how, they took ownership of the tasks and found ways to make them fun and enjoyable.
 - ii. The new leader of a healthcare facility was struggling to get people to speak up and share their ideas. So, he started to work alongside them, chatted about their work, and invited them to share/expand on their ideas (instead of interjecting with his own). Before long, people opened up and started to explore ways to improve their efforts and impact.

KEY QUOTES

"Wherever people are organized together, a collective result already exists, just waiting to be named, collaborated around, and worked toward."



Wherever possible, remove unnecessary distinctions that distance senior executives from the rest of the organization, e.g. exclusive offices on the top floor or private parking lots.

- When senior leaders abide by a different set of rules or privileges, it creates a perceived gap that reduces their influence. Likewise, it's easier for parents to influence their children if they follow the same set of rules.
- Leaders must walk the talk. Make the changes yourself before asking others to do so. Start by considering your employees' perspectives, needs and goals, and adjusting your efforts and measurements to help them achieve those needs/goals first.



Develop outward systems and processes to support the mindset you're trying to cultivate.

- For example, it's hard to get people to be outward-minded if your performance system is based on inward results. If your organization rewards only the top 10% and fires the bottom 10%, people will be too focused on keeping their jobs to collaborate and innovate toward organizational goals. Instead, focus on developing people and holding them accountable for growing their impact and results.
- Institutionalize outward-minded strategies and practices, e.g. discuss collective goals, actions, and challenges at team meetings, or regularly review examples of outward-minded actions.



Other Details in the Book to Look out For

It takes time and effort to shift from an inward mindset to an outward mindset. The good news is, the more you do it, the easier it becomes, until it becomes your default way of thinking. This book is full of real-world stories and examples—from education to business, healthcare, and Navy SEALs—to help the readers understand the outward mindset and how to apply it. For more information, please visit <https://arbinger.com/>.

KEY QUOTES

"When leaders begin to take seriously the project of not taking themselves too seriously and begin collapsing the distinctions between themselves and others, they are positioned to begin scaling mindset change."

"Create an organizational ecosystem that energizes people rather than manages objects."

"Outwardness does to inwardness what light does to darkness: it chases it away."